

APPROPRIATIONS HEARING • FY2028

Transit State-of- Good-Repair

A \$214M capital request to clear the backlog that is driving service failures across the regional rail network.

THE REPAIR BACKLOG

\$1.4B

of deferred state-of-good-repair work
has accumulated across track, signals,
and rolling stock since FY2019.

The backlog is now driving the delays riders feel every morning.

Mean-distance-between-failures has fallen 38% in four years.

Signal faults and slow-orders — direct symptoms of deferred repair — now cause two of every three weekday delays on the network.

Where the \$214M request goes, by asset class.

01	Signal modernisation	Replaces 14 interlockings past their 40-year design life — the largest single source of faults.	\$86M
02	Track & structures	Eliminates 22 slow-orders and rehabilitates four at-risk bridges.	\$61M
03	Rolling stock overhaul	Mid-life overhaul of 90 rail cars, extending service life 15 years.	\$48M
04	Power & substations	Replaces three substations operating beyond capacity at peak.	\$19M

What the investment returns in reliability and cost avoidance.

+52%

Distance between failures

TARGET +40% BY FY30 **ON PLAN**



–31%

Weekday delay minutes

FROM SIGNAL AND TRACK FIXES

\$96M

Avoided emergency repair

OVER THREE YEARS **ON PLAN**

CONTEXT • THE COST OF WAITING

Every year of deferral makes the backlog more expensive to clear.

MODELLED ESCALATION ON THE CURRENT BACKLOG AT OBSERVED DEGRADATION AND INFLATION RATES.



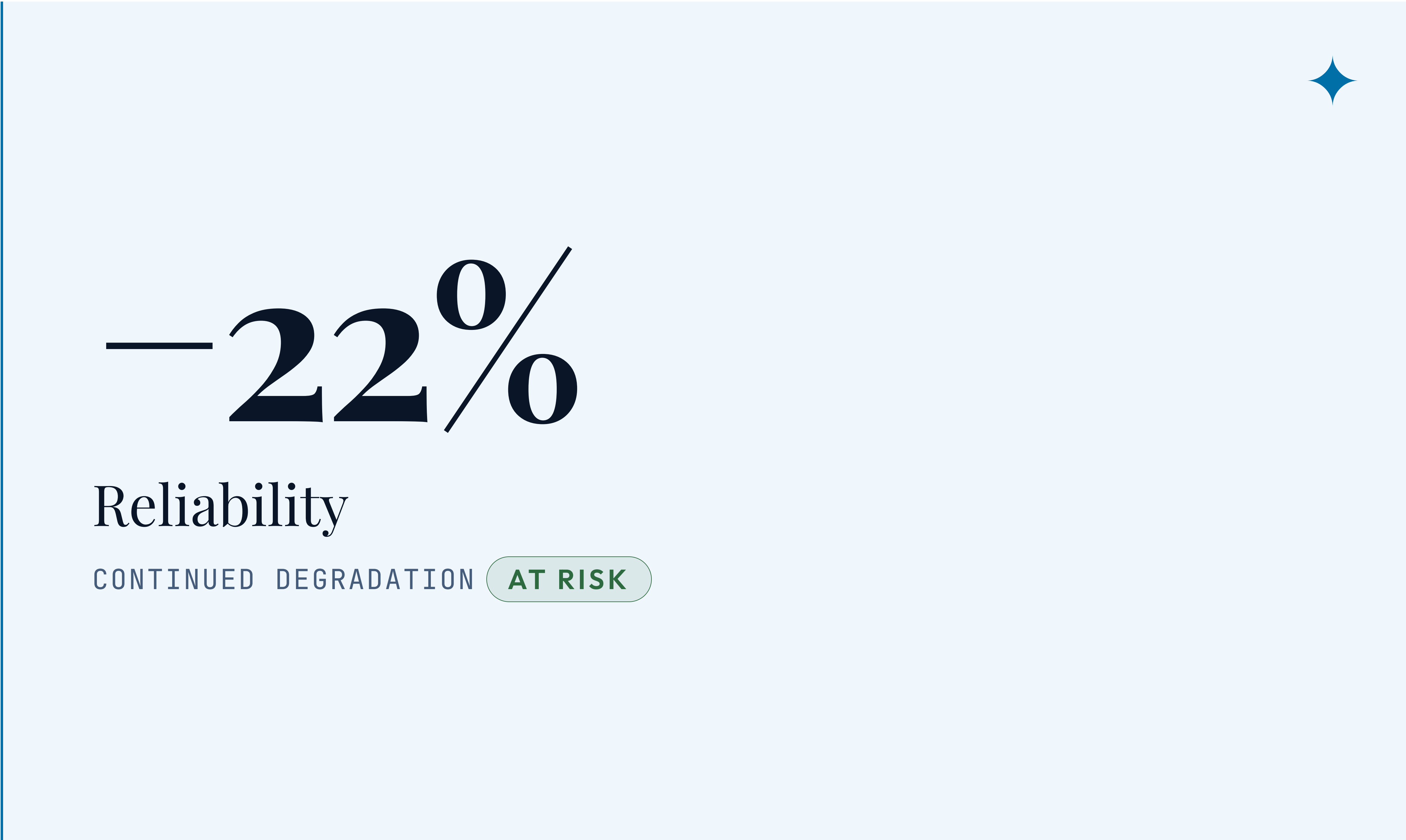
How the request is funded across three sources.

01	State capital appropriation	The amount this hearing is being asked to authorise.	\$128M
02	Federal formula match	Drawn at the 2:1 rate the state request unlocks.	\$64M
03	Farebox capital reserve	From the dedicated reserve, already accrued.	\$22M
04	Total program	Fully funded if the state share is approved.	\$214M

The federal match is the reason to fund this cycle, not next.

The \$64M federal formula match expires at the close of FY2028. A state appropriation now draws it down at 2:1; a one-year delay forfeits the match and raises the state's share of the same work by an estimated \$58M.

The network through FY30 without this appropriation.



\$1.8B

Backlog

+\$400M VS TODAY **AT RISK**

\$0

Federal match captured

WINDOW CLOSES FY28 **AT RISK**

Where each funding scenario sits on cost against service risk.

High cost • Low risk.

Full backlog clearance in one cycle

High cost • High risk.

Emergency-only spending, no planning

Low cost • High risk.

Defer the request another year

Low cost • Low risk.

\$214M phased request with federal match

The criteria the capital plan was built to meet.

01

Targets the failure drivers

Spend must address the assets actually causing delays, not lowest-hanging cost.

02

Captures available match

Must draw down federal dollars before the formula window closes.

03

Bounded annual ask

State share must stay within the capital-budget growth cap.

04

Measurable reliability gain

Each dollar must map to a projected reliability or cost-avoidance outcome.

Approve the \$128M state share to unlock the full \$214M repair program.

APPROVE THE STATE SHARE

Captures the expiring federal match and reverses four years of reliability decline.

WHY NOT DEFER A YEAR

Forfeits \$64M in match and adds \$58M to the state's eventual cost.

WHY NOT EMERGENCY-ONLY

Spends 3.2× more per fix and never clears the backlog.

DEPT. OF TRANSIT • BUDGET.TRANSIT.GOV.EXAMPLE

Fund the repair now, or
pay for the failure later.